

Nestle India Ltd

NESTLEIND · Consumer Staples

ROE

117.8%

ROCE

143.1%

Net Profit Margin

16.1%

Debt-to-Equity

0.10

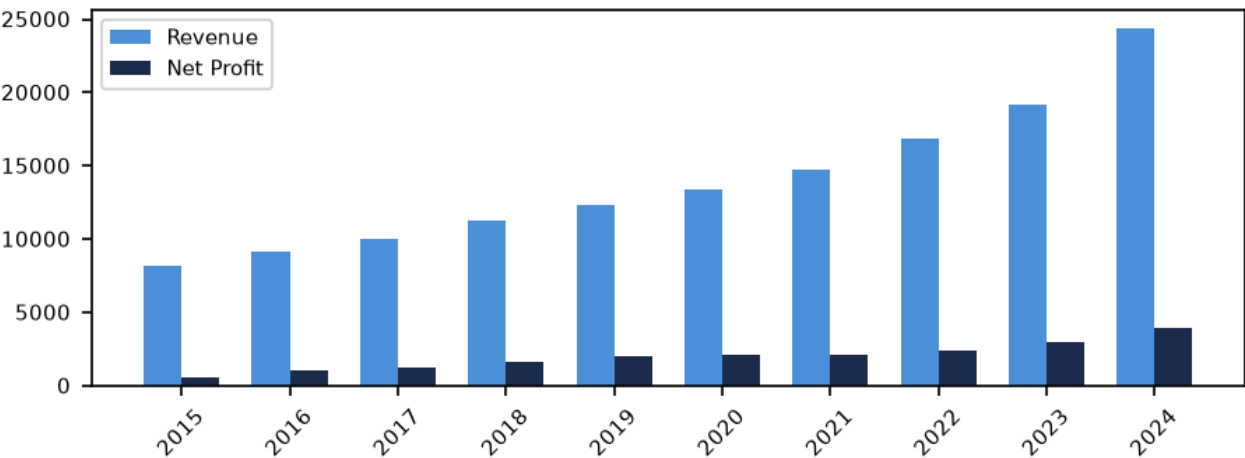
Revenue CAGR (5yr)

14.6%

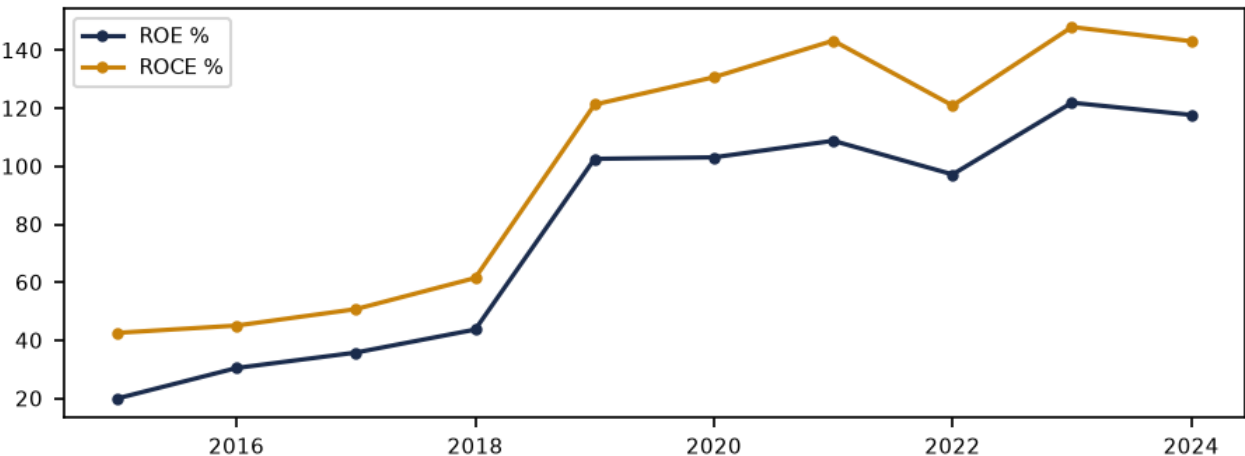
Free Cash Flow

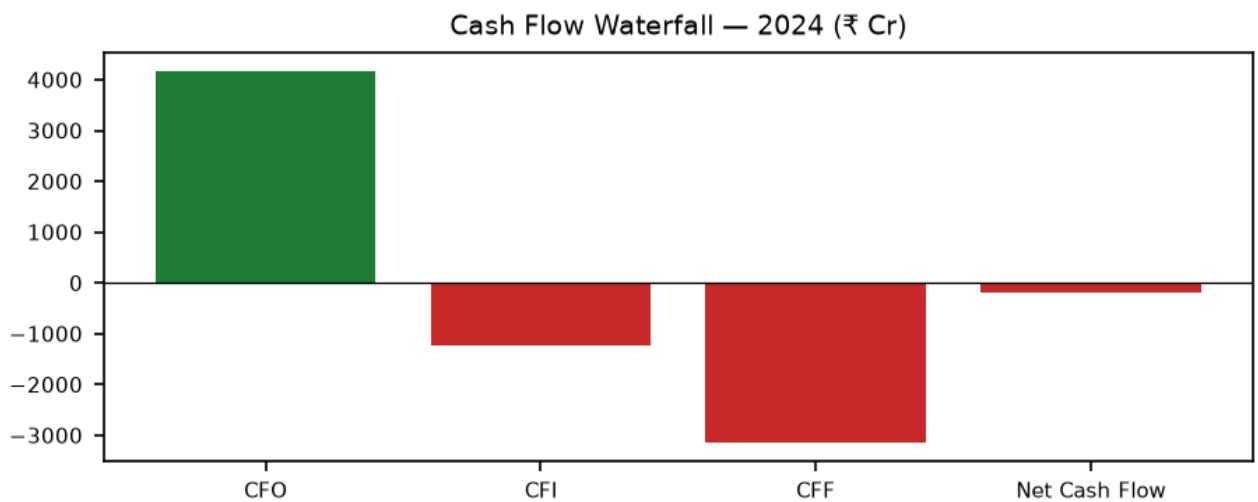
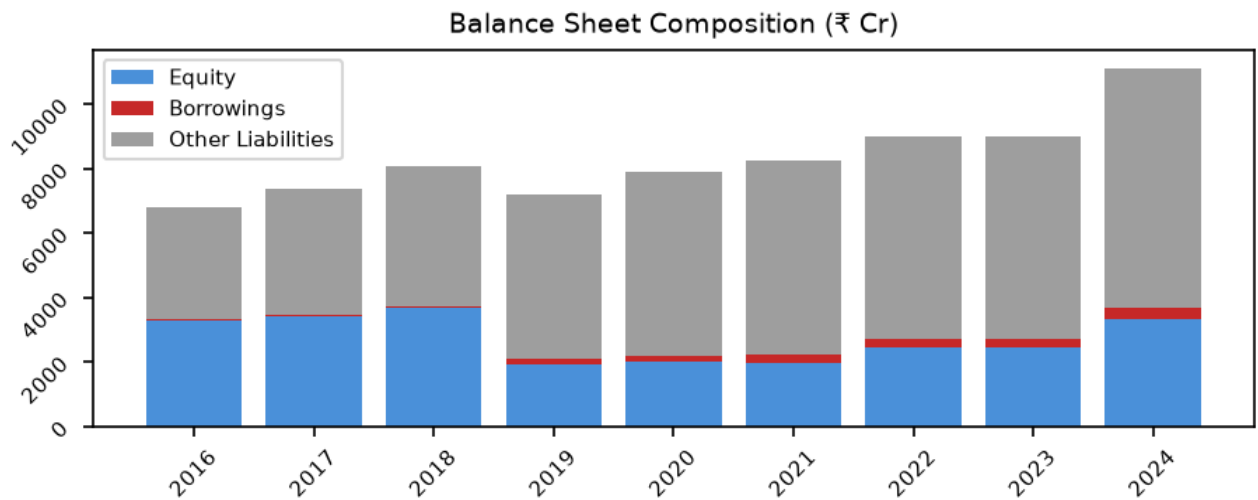
■ 2,938 Cr

Revenue vs Net Profit (₹ Cr)



ROE vs ROCE Trend (%)





Pros

- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
- ✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
- ✓ Consistent dividend yield above 2% backed by positive free cash flow
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Cons

- ✗ Debt-to-equity ratio of 0.10 is a factor worth monitoring given the company's capital structure

Capital Allocation: Reinvestor